

11/2/2026 -Holsen Compliance Certification

Meeting summary link : <https://app.fireflies.ai/view/Holsen-MH-C1-C3-Discussion::01KH37DXE08C0SHYXHJMQADBPS>

- **C1 Certificates:**
 - a. Perpetual manufacturer exemptions,
 - b. valid until superseded,
 - c. ease compliance with no quantity tracking needed.
- **C3 Certificates:**
 - a. Single-order,
 - b. quantity-based exemptions,
 - c. require POs for validation,
 - d. maintain strict inventory traceability.
 - e. Import on behalf
- **A57 Certificates:**
 - a. Regulatory and reporting complexities for trader-to-LMW sales;
 - b. currently not in use but understood.
- **Inventory Control:** Bulk imports tracked by batches ensure only authorized sales to comply with exemption certificates.
- **SQL Transition:** Full go-live by August 1, with testing starting in May; focus on data migration and process integration.
- **Automation Needs:** Improve efficiency by automating document generation and enhancing traceability through system integrations.

Notes

Tax Exemption Document Handling and Compliance

The meeting clarified the distinct roles and handling processes for **C1**, **C3**, and **A57** tax exemption certificates to ensure compliance and audit readiness.

- **C1 certificates** are perpetual manufacturer tax exemptions tied to the company, valid until superseded, with no quantity restrictions and tracked as attachments for relevant SKUs (05:30)
 - **Ivan Chiang** confirmed C1 is mostly for manufacturers buying directly and used repeatedly once validated.
 - **Chin** explained clients manage quantity limits themselves; traders rely on C1 as proof for tax-exempt sales.
 - C1 certificates are recorded at the order or item level in invoice remarks to maintain audit trails.
 - This reduces operational complexity since C1 does not require per-order validation or quantity tracking.
- **C3 certificates** are single-order, quantity-based exemptions where the trader imports on behalf of the manufacturer, requiring PO and appointment letters for approval (07:35)
 - **Chin** detailed the approval process via the SST portal, where quantities in the PO and system must match before generating C3.
 - Upon shipment arrival, bulk imports are split into batches corresponding to each client's C3 allocation, maintaining strict traceability.
 - Inventory and shipment batches are labeled by manufacturer lot number for accurate allocation and audit.
 - **Ivan Chiang** noted that fulfillment follows strict order-based stock usage, with manual coordination to adjust delivery schedules when multiple orders exist for the same item.
- **A57 certificates** apply to traders selling from registered manufacturers to LMW clients, are quantity and value-specific, and require monthly SST reporting (20:10)
 - Currently not used by the client but understood to be similar to C3 in restrictions and documentation.
 - This certificate type reflects more complex regulatory needs for trader-to-LMW transactions.
- Documentation tied to tax exemptions includes:
 - a. Purchase Orders (PO)
 - b. Appointment Letters
 - c. K1 Forms
 - d. Certificates of Analysis (COA)
 - e. Supply Invoices
 - f. Packing Lists

- These documents are linked to batch or stock entries to maintain a complete transaction trail.
- The system allows attaching these documents to batches for audit and compliance.
- Special forms, such as the Poison Sign Order (PSO), are currently generated manually.
- Automating PSO generation could reduce manual workload and improve regulatory compliance.

Inventory and Batch Tracking for Compliance

Inventory management is tightly controlled to ensure tax-exempt goods are allocated and sold only to authorized clients as per exemption certificates.

- Bulk imports (e.g., **20 metric tons**) are split into multiple batches by lot number to correspond with clients' exemptions, ensuring no unauthorized sales (13:10)
 - Batches are labeled and tracked in the warehouse, facilitating audit verification of stock movements.
 - Stock ledgers and Excel forms (Jados C02) are updated every **three months** to reconcile incoming and outgoing exempt goods.
- Batch numbers are created either before stock arrival or upon receipt, with current practice favoring creation post-arrival to assign batches to customers (33:30)
 - Batch-level traceability is maintained in the system, linked across sales orders (SO), delivery notes (DN), and invoices (SI).
 - Dispatch teams are responsible for ensuring correct customer allocation of exempt stock.
- Manual coordination between sales and fulfillment teams handles exceptions where clients have multiple orders with staggered delivery schedules (24:00)
 - This prevents mixing stock allocations across orders and preserves compliance with quantity restrictions tied to exemption certificates.

Document and Workflow Integration with External Systems

The transition from **UBS** to **SQL** ERP systems drives workflow and data integration considerations, with tax exemption tracking central to order and inventory management.

- Current workflow uses **Maia** for order and inventory management, while invoices and delivery notes are generated in UBS (51:30)
 - MAIA will block creation of new customers or SKUs not existing in UBS to avoid data mismatch.
 - Export formats from UBS will be needed to map customers, SKUs, and transactions accurately.

- The client plans a full transition to SQL by **August 1**, aligning with their financial year, with a recommended testing period starting in **May** to allow data cleanup and onboarding (22:20)
 - Parallel system use with UBS and SQL will be required during transition to ensure seamless operations.
 - Early engagement with SQL vendors is advised to manage data migration and integration complexities.
- Data integration will require detailed understanding of UBS system setup restrictions, such as dropdown value limits on columns in CSV imports, to avoid fails during bulk uploads (54:30)
 - Ivan Chiang emphasized the need for exact customer and item naming consistency between UBS and MAIA to prevent mismatches.
 - Regular exports of inventory data and master data will be required for MAIA to maintain accurate stock visibility and sales order validation.
- Invoice documents generated by UBS will be manually uploaded into MAIA to maintain order status tracking since MAIA's invoice PDFs are not compliant e-invoices (09:50)
 - Delivery notes generated from MAIA will be used internally despite UBS' official role for invoicing and delivery document issuance.
 - Document formatting differences exist, with UBS using carbon copy dot matrix prints and MAIA using A4 PDFs; transition to SQL will modernize this.

Product Handling and Regulatory Compliance for Hazardous Goods

The handling of hazardous products, particularly poisons, requires additional documentation and compliance management integrated into operational workflows.

- Poison-category SKUs require generation of a **Poison Sign Order (PSO)** form for customer acknowledgment on delivery (42:30)
 - The PSO is a standardized government-mandated document under the Pharmacy license B regulation, ensuring traceability of controlled substances.
 - Currently generated manually, the team expressed a desire to automate PSO generation within MAIA for efficiency and compliance (43:30).
- Other product handling details such as UN numbers, hazard classes, and weight-based handling requirements are less critical currently but may be included later for more sophisticated importers (49:00)
 - The client outsources transport logistics, reducing their internal need to manage external labeling or cold chain requirements.

- These requirements are primarily enforced by other agencies (e.g., JPJ) and are considered lower priority now.
- Each SKU is categorized in the system as poison or non-poison to trigger appropriate documentation generation and compliance workflows on delivery (46:00)
 - This helps ensure only authorized products generate PSO forms, reducing manual errors and audit risks.

System Enhancements and Future Automation Opportunities

Discussions identified several areas where system enhancements can simplify compliance, reduce manual work, and improve traceability.

- Automating the generation of the **Poison Sign Order** form tied to poison SKUs would reduce manual effort and speed up logistics processing (43:30)
 - This aligns with regulatory requirements and improves record-keeping accuracy.
- Attaching and extracting key data fields from important documents (e.g., K1 forms, COAs, supply invoices) can improve validation and audit readiness (38:30)
 - The team requested sample documents to assess feasibility of automated data extraction and prioritize development.
 - Document tagging and field extraction can help enforce compliance without burdening staff.
- Enforcing tax exemption references at the **item level** in sales orders, invoices, and delivery notes was preferred to cover mixed orders with exempt and non-exempt items (30:00)
 - This approach provides clearer audit trails and supports complex customer orders.
 - The AI system could handle item-level exemption tracking to reduce manual workload.
- Batch and shipment tracking improvements, including linking exemption certificates, K1 forms, and stock entries, were discussed to enhance traceability and reporting (36:30)
 - Maintaining a full digital ledger of exempt goods supports smoother SST audits and regulatory compliance.
 - Current manual Excel forms could be replaced or augmented by system-generated reports.

Project Timelines and Next Steps

Key timeline and deliverable commitments were established for transitioning ERP systems and enabling full tax exemption compliance workflows.

- The client targets a **full SQL ERP go-live on August 1**, with **testing and data onboarding starting by May** to allow for cleanup and integration validation (22:30)

- This phased approach aims to minimize operational disruption and ensure data accuracy.
- The team(Holsen) will provide **raw export files of customers, SKUs, inventory, and transaction data from UBS by the next day** to enable format adaptation and data ingestion into MAIA (27:30)
 - Early receipt of these files will accelerate system preparation and reduce risks of mismatches.
- MAIA will block creation of new customers and SKUs to enforce master data consistency with UBS during the transition (53:00)
 - This prevents data duplication and errors during order exports.
- Manual invoice uploads from UBS into MAIA will continue until SQL fully replaces UBS for invoicing processes (09:50)
 - Delivery notes and other order documents will progressively migrate to MAIA and later SQL for streamlined workflows.
- The team will circulate meeting minutes capturing all discussed points, decisions, and follow-ups for shared reference and accountability (27:50)

Action items

Chin

- Provide sample COA, K1, poison sign-off forms and other tax exemption documents for Minehive team to review and support extraction (38:30)
- Share current UBS export files including customer, item master, stock, and inventory data to Minehive for MAIA integration adaptation (01:23:50)
- Continue cleanup and alignment of item names in UBS to match master data (01:26:40)

Holsen Lab Team

- Share updated delivery note and invoice templates and confirm printing formats required (01:15:50)

Holsen Lab

- Engage SQL vendor ASAP for integration planning and confirm API options, especially Cloud API integration for smooth data exchange (01:20:20)
- Send link to all relevant tax exemption and poison sign off documents to Ivan' s team for ingestion and automation consideration (43:00)

Tam

- Complete double-checking of product site data and CNA discrepancies before uploading final stock data (01:27:00)

Holsen Lab & Ivan

- Coordinate on uploading and mapping the K1 and COA documents as tagged attachments in MAIA for batch stock entries (36:30)